

Americas Energy & Transition

Americas Gas: Open choke...how fast will Permian gas flow?



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We are long-term bullish Henry Hub gas price on the basis of strong LNG and power demand amidst supply side discipline (particularly in the price-setting Haynesville) ([New Bernstein Power Model helps confirm our bullish gas outlook...Haynesville activity doesn't deter us](#)). **One bear case for gas price is a flood of Permian gas hitting the market catalyzed by the start of new pipelines now.**

We forecast that Permian dry gas doesn't grow sufficiently fast to fill the pipeline capacity (Exhibit 1).

Waha gas price (the local Permian gas price marker) typically trades at a significant discount to "unfettered" Henry Hub. Waha gas price went negative in mid-September of 2025. **From mid-September 2025 to mid-June 2026, Waha averaged a negative \$1.68/mcf while Henry Hub averaged \$3.5/mcf. With the startup of Gulf Coast Express in mid-June 2026, Waha turned quickly positive and has stayed there, currently trading at a mere \$0.5/mcf discount to Henry Hub** (Exhibit 2).

We show all potential pipelines that connect New Mexico or Texas (i.e., potential Permian pipes) (Exhibit 3). Out of this list, only three pipeline projects are both (a) scheduled for 2026 startup and (b) take Permian volumes out of basin. Those projects are Gulf Coast Express, Blackcomb and Hugh Brinson.

Gulf Coast Express came online in mid June this year and drove Waha back to positive values (Exhibit 4). It has **0.57 bcfd of capacity** and we note that pipeline scrapes today are currently at the same level as before service. The pipeline did not fill in its first month (more on that later).

Blackcomb (with a capacity of 2.5 bcfd) is currently flowing some volumes of gas and is still on track for 4Q26 full flows "by year end" (Exhibit 5).

Hugh Brinson is also in commercial service with 1.5 bcfd expected in less than a month and an additional 0.7 bcfd in 1Q27 (Exhibit 6).

We also calculate a velocity of gas (Exhibit 8) and correlate that velocity with periods of time when pipeline capacity opened up. **We see no strong signal that new pipeline capacity unleashes trapped gas historically.**

Furthermore, pipeline scrapes (Exhibit 4) since mid June have shown no strong evidence of supply growth. The median gas flowing since mid June has been 22.7 bcfd vs before mid June of 22.54 bcfd (despite the >1 bcfd of pipeline adds likely already in service).

We will monitor trends through year end and should have definitive evidence by then of whether our thesis or the bear thesis is correct.

EXE and EQT (both Outperform) are the greatest beneficiaries of high gas price in our coverage. DVN (Outperform) benefits the most amongst large cap E&Ps from high gas price and to a smaller degree improved Permian gas realizations. All the remainder of our coverage are Permian producers and will benefit from improved Permian gas realizations.

BERNSTEIN TICKER TABLE

Ticker	Rating	6 Aug 2026		Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
APA (APA)	M	USD	36.53	40.00	71.8%	USD	2.83	7.20	6.42	12.9	5.1	5.7
CVX (Chevron)	M	USD	189.23	209.00	(0.1)%	USD	6.42	16.97	13.59	29.5	11.2	13.9
COP (ConocoPhillips)	O	USD	116.76	121.00	5.1%	USD	6.18	13.89	10.88	18.9	8.4	10.7
DVN (Devon Energy)	O	USD	43.11	59.00	11.3%	USD	4.17	10.06	8.43	10.3	4.3	5.1
FANG (Diamondback)	O	USD	189.63	241.00	11.1%	USD	4.57	32.21	27.22	41.5	5.9	7.0
EOG (EOG)	M	USD	136.20	155.00	(5.3)%	USD	9.88	18.93	16.25	13.8	7.2	8.4
EQT (EQT)	O	USD	51.60	68.00	(21.0)%	USD	3.31	7.97	8.46	8.0	5.0	4.8
EXE (Expand Energy)	O	USD	91.96	160.00	(28.8)%	USD	7.57	13.65	18.14	12.2	6.7	5.1
XOM (ExxonMobil)	O	USD	154.84	182.00	22.3%	USD	7.37	16.08	14.46	21.0	9.6	10.7
KOS (Kosmos Energy)	M	USD	2.47	2.40	18.3%	USD	(1.58)	1.13	0.75	(1.6)	2.2	3.3
KOS.LN (Kosmos Energy)	M	GBP	182.50	177.00	9.6%	GBP	(1.17)	0.83	0.56	(1.6)	2.2	3.3
SPX			7,757.64									
EDME			1,638.96									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

EQT estimate is Reported EPS; EQT valuation is EV/EBITDA (x);

Source: Bloomberg, Bernstein estimates and analysis.

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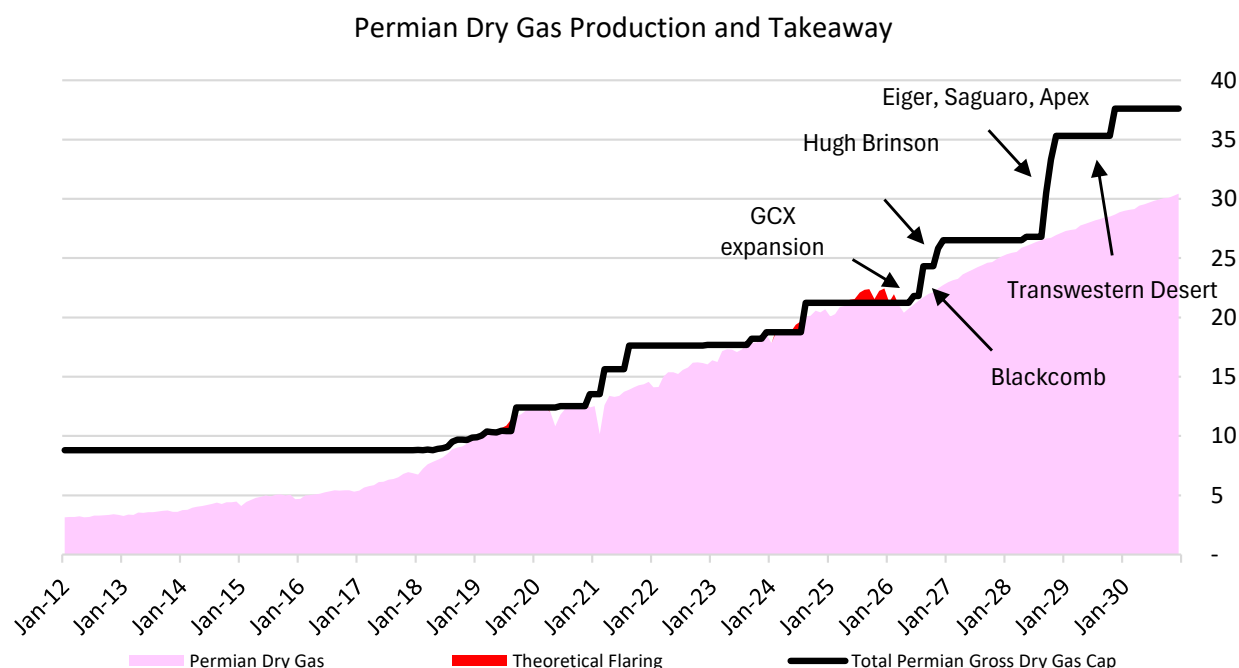
DETAILS

We are long-term bullish Henry Hub gas price on the basis of strong LNG and power demand amidst supply side discipline (particularly in the price-setting Haynesville) (see [Americas Natural Gas: New Bernstein Power Model helps confirm our bullish gas outlook...Haynesville activity doesn't deter us](#) for example). One bear case for gas price is a flood of Permian gas hitting the market catalyzed by the start of new pipelines in 2026.

We note two phases of upcoming expansions - mid 2026 (i.e., now) and mid 2028 (i.e., later). We focus on the former.

We forecast that Permian dry gas doesn't grow sufficiently fast to fill the pipeline capacity (Exhibit 1).

EXHIBIT 1: In the long run, we expect associated gas including the Permian to grow +2bcfd/yr on average to 2030 and not fill pipeline capacity



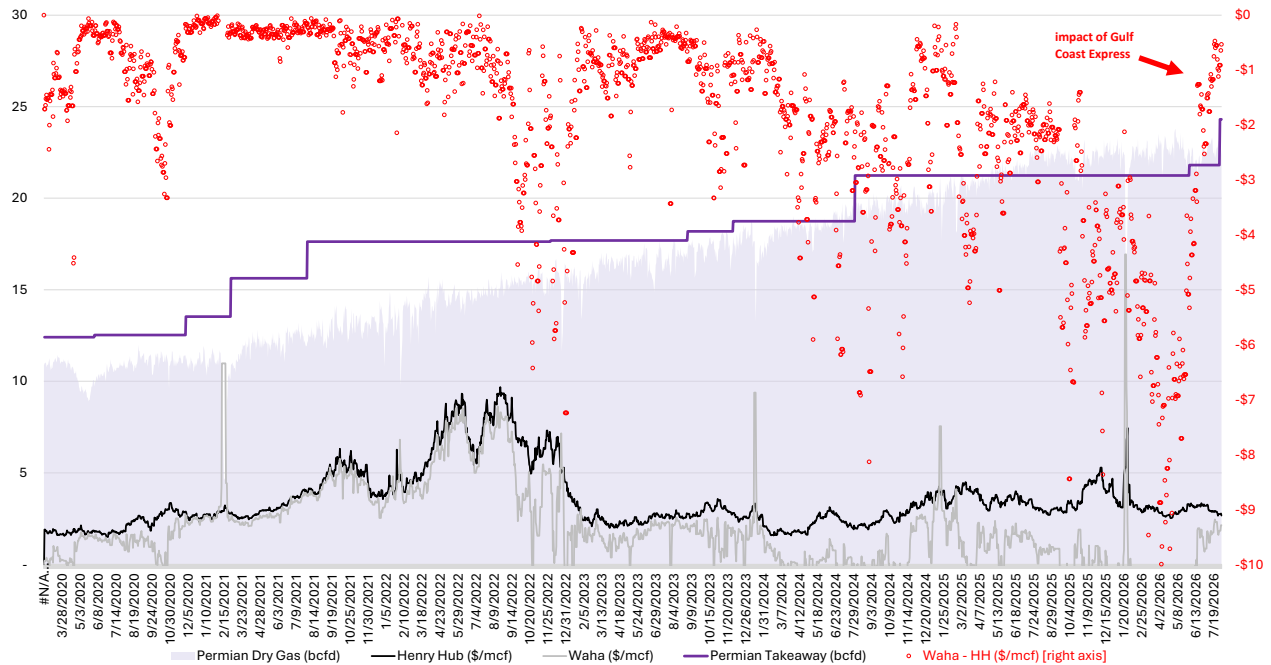
Source: Enverus, Company and news reports, Bernstein analysis and estimates

Waha gas price typically trades at a significant discount to unfettered Henry Hub.

Waha gas price went negative (i.e., on the margin someone was treating it as a waste product and paying a third party to take it away) in mid-September of 2025. From mid-September 2025 to mid-June 2026, Waha averaged a negative \$1.68/mcf while Henry Hub averaged \$3.5/mcf...more than a five dollar difference. With the startup of Gulf Coast Express in mid-June 2026, Waha turned quickly positive and has stayed there, currently trading at a mere \$0.5/mcf discount to Henry Hub (Exhibit 2).

The negative prices were due lack of gas takeaway (and a desire not to flare or vent). Gulf Coast Express started a de-bottlenecking process that will continue.

EXHIBIT 2: Waha discounts are smallest when takeaway available and greatest when pipes are full



Source: EIA; Bloomberg; Bernstein estimates & analysis

We show all potential pipelines that connect New Mexico or Texas (i.e., potential Permian pipes) (Exhibit 3).

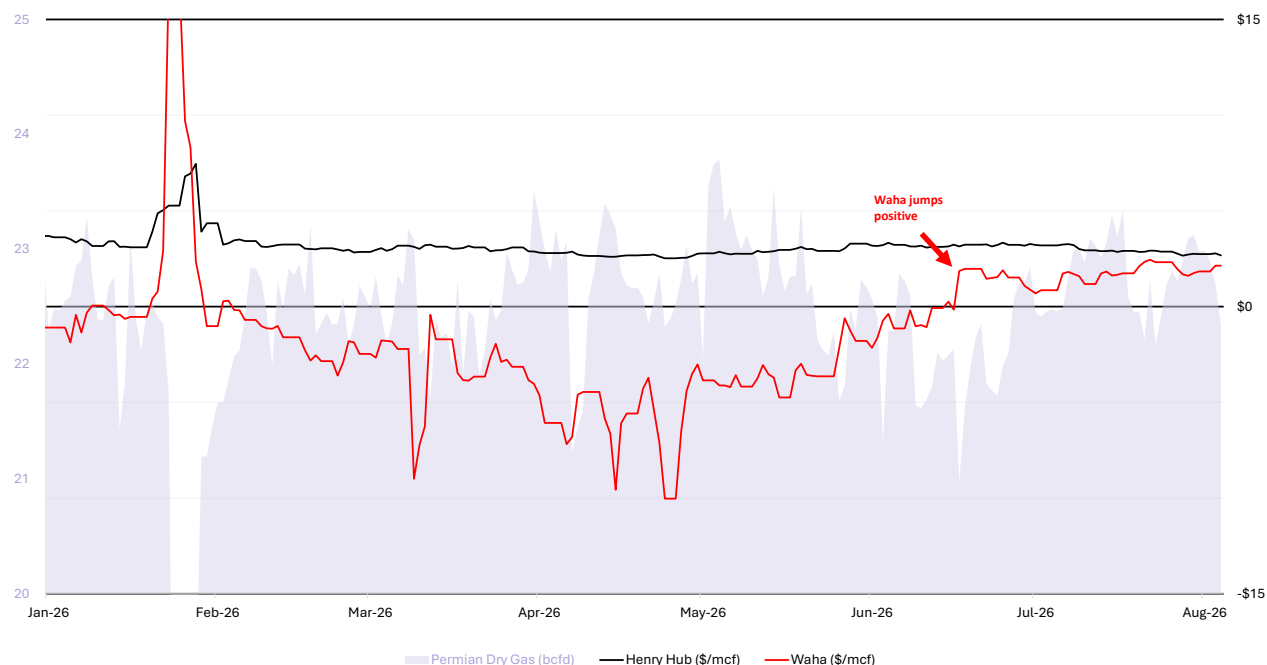
Out of this list, only three pipeline projects are both (a) scheduled for 2026 startup and (b) take Permian volumes out of basin. Those projects are Gulf Coast Express, Blackcomb and Hugh Brinson.

EXHIBIT 3: The current queue of gas pipelines leaving New Mexico and Texas

Project Name	Pipeline Operator Name	Project Type	Added Capacity (mmcf/d)	Year in Service	Status	Beginning State	End State	Miles
Rio Bravo Pipeline Project	Rio Bravo Pipeline Company (Enbridge)	New Pipeline	4,500	2026	Construction	TX	TX	138
Blackcomb Pipeline	WhiteWater Midstream	New Pipeline	2,500	2026	Construction	TX	TX	365
Hugh Brinson Pipeline Phase I & II	Energy Transfer LP (via Hugh Brinson Pipeline LLC)	New Pipeline	2,200	2026	Part Completed	TX	TX	442
Oracle Data Center Laterals	Energy Transfer LP	Lateral	900	2026	Part Completed	TX	TX	
Gulf Coast Express Expansion	Kinder Morgan Energy Partners	Expansion	570	2026	Completed	TX	TX	
Dude Lateral Project	Double E Pipeline LLC	Lateral	400	2026	Applied	NM	NM	22
Green Chile Project	Energy Transfer (Transwestern)	Expansion	400	2026	Applied	NM	NM	17
Transco Wharton West project	Transcontinental Gas Pipe Line (Williams)	Expansion	310	2026	Applied	TX	TX	
TTC Connector Pipeline Project	TTC Connector, LLC	New Pipeline	300	2026	Approved	TX	TX	25
ECCC pipeline	Kinetik	New Pipeline	150	2026	Construction	NM	TX	
WT-0 Compressor Station Project	Transwestern	Expansion	80	2026	Approved	NM	NM	0
Blackfin Pipeline	WhiteWater Midstream	New Pipeline	3,500	2027	Construction	TX	TX	193
Golden Pass Lateral	Golden Pass LNG Terminal LLC	Lateral	2,600	2027	Approved	TX	TX	0
Traverse Pipeline	WPC JV (WhiteWater/MPLX/Enbridge) + Targa	New Pipeline	2,400	2027	Construction	TX	TX	152
CP Express Pipeline Project Phase II	Venture Global	New Pipeline	2,200	2027	Construction	TX	LA	
Apex	Targa Resources	New Pipeline	2,000	2027	On Hold	TX	TX	563
Trident Intrastate Pipeline	Kinder Morgan	New Pipeline	2,000	2027	Construction	TX	TX	216
CP Express Pipeline Project Phase 1	Venture Global	New Pipeline	1,800	2027	Construction	TX	LA	91
Corpus Christi Stage III Pipeline	Cheniere Energy Corpus Christi	Expansion	1,530	2027	Construction	TX	TX	21
Nueva Era Dos Pipeline Project	Nueva Era Pipeline LLC	New Pipeline	1,000	2027	Applied	TX	MX	1
Waha to Mexico (Wahalaajara System)	ESENTIA Energy Systems	Expansion	300	2027	Construction	TX	MX	
Permian West Expansion	Kinder Morgan (El Paso Natural Gas)	Expansion	82	2027	Applied	TX	TX	9
Eiger Express Pipeline	WhiteWater Midstream	New Pipeline	3,700	2028	Construction	TX	TX	450
Saguaro Connector Pipeline	Saguaro Connector Pipeline, LLC	New Pipeline	2,800	2028	Approved	TX	MX	155
Saguaro - Border Facility	Saguaro Connector Pipeline, LLC	Lateral	2,800	2028	Approved	TX	MX	0
South Mississippi Project	Energy Transfer	New Pipeline	2,000	2028	Announced	TX	LA	100
DeLa Express Project	DeLa Express LLC	New Pipeline	2,000	2028	Pre-applied	TX	MS	690
Texas Access Project	Kinder Morgan Louisiana Pipeline LLC	Expansion	1,300	2028	Applied	TX	LA	3
Forza pipeline	Forza Pipeline LLC & Bull Run Pipeline LLC (Targa Resources)	New Pipeline	750	2028	Applied	NM	TX	36
Texas Connector-Port Arthur Pipeline	Sempra Infrastructure (Port Arthur Pipeline)	New Pipeline	494	2028	Approved	TX	TX	31
Texas-Louisiana Expansion Project	NGPL (Kinder Morgan / Brookfield / ArcLight)	Expansion	467	2028	Completed	TX	LA	0
Texas-Arkansas Power Project (TAPP)	Kinder Morgan (NGPL)	Expansion	400	2028	Applied	TX	AR	
Bull Run Extension	Targa Resources	Expansion		2028	Applied	TX	TX	43
Buffalo Run	Targa Resources	Expansion		2028	Announced	TX	TX	90
Mustang Express Pipeline	Arm Energy Holdings LLC	New Pipeline	2,500	2029	Approved	TX	TX	236
Desert Southwest expansion project	Transwestern	Expansion	2,300	2029	Pre-applied	NM	AZ	516
Texas Gateway Project	Gulf South Pipeline Co. LLC	Expansion	1,450	2029	Applied	TX	LA	155
CCPL Expansion Project (Corpus Christi Stage IV)	Cheniere Corpus Christi Pipeline	Expansion	3,000	2030	Pre-applied	TX	TX	26
Sabine Crossing Pipeline	Cheniere Energy (Sabine Crossing Pipeline, LLC)	New Pipeline	2,500	2031	Pre-applied	TX	LA	56

Source: EIA; Company reports; Bernstein analysis

Gulf Coast Express came online in mid June this year and drove Waha back to positive values (Exhibit 4). It has 0.57 bcfd of capacity and we note that pipeline scrapes today are currently at the same level as before service. The pipeline did not fill in its first month (more on that later).

EXHIBIT 4: **Gulf Coast Express inauguration pulled Waha prices above zero**

Source: EIA; Company Reports; Bloomberg; Bernstein analysis

Blackcomb (with a capacity of 2.5 bcfd) is currently flowing some volumes of gas and is still on track for 4Q26 full flows “by year end” (Exhibit 5).

EXHIBIT 5: **Blackcomb is partially flowing and will ramp into year end**

Q - Jeremy Tonet {[BIO 15946844](#) <GO>}

Thank you. Got it. Very helpful. And then just a smaller detailed question for myself. I was wondering as it relates to Blackcomb, when you say it's commissioning now, does that mean it's like flowing a quarter of the gas and it will be full by year end? Or how should we think about that ramp?

A - Michele Harradence {[BIO 20721599](#) <GO>}

Yeah, I think that's probably fair. We can get back to you on the details on that, Jeremy. But yeah, it's just ramping-up now through year end.

Source: Bloomberg; Bernstein analysis

Hugh Brinson is also in commercial service with 1.5 bcfd expected in less than a month and an additional 0.7 bcfd in 1Q27 (Exhibit 6).

EXHIBIT 6: **Hugh Brinson Phase-1 can flow 1.5 bcfd by September 1st while Phase-2 adds 0.7 bcfd in 1Q27**

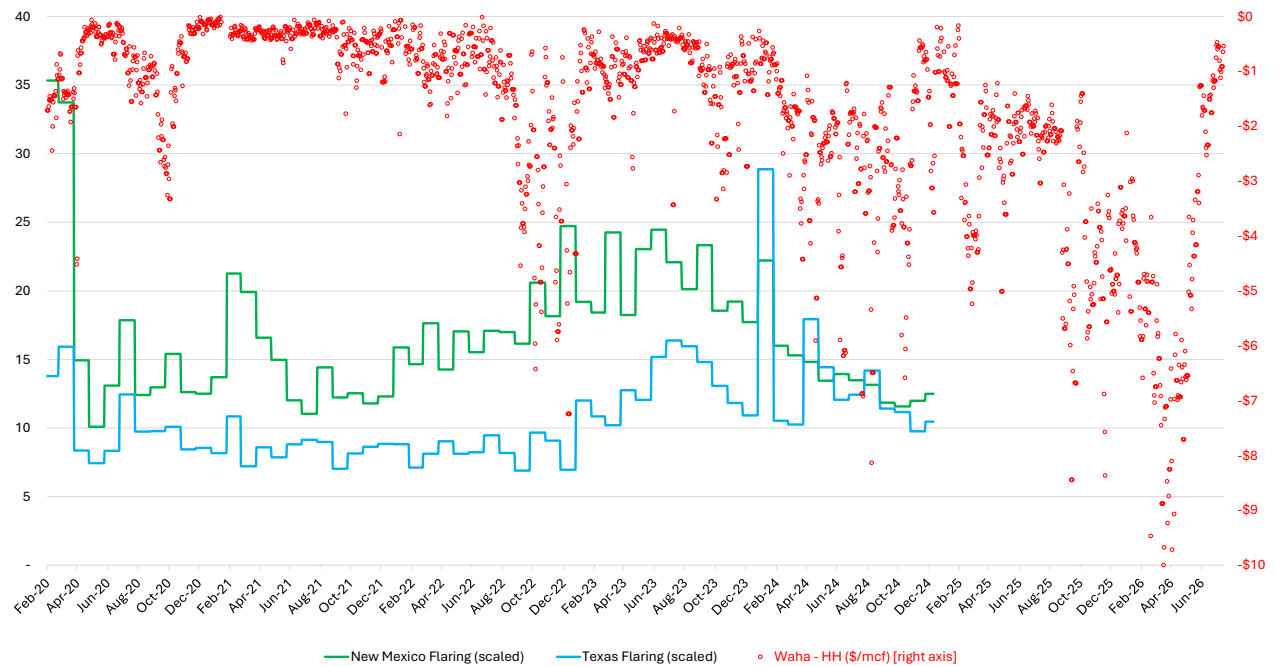
due to an increase of approximately \$113 million from wider basis differentials as well as an increase of approximately \$1/ million from early volumes, during the commissioning of the Hugh Brinson Pipeline. This quarter's results once again demonstrate the quality of Energy Transfer's asset-base and unique operating model and further strengthen our belief that the market fundamentally underappreciates the value of our business. Turning to an update on some of our major growth projects and starting with the natural gas side of our business. First, we are pleased to announce that our Hugh Brinson pipeline is now in commercial service with progress being made toward placing the full Phase-1 capacity of 1.5 Bcf per day in service. Hugh Brinson's shipper contracts are coming online in stages based upon the contractually specified effective date in each agreement. We anticipate that Hugh Brinson will be capable of flowing the full Phase-1 capacity by September 1st, 2026, assuming pipeline commissioning activities continue to progress as scheduled. We continue to expect Phase 2, which includes additional downstream compression to be in service in the first quarter of 2027, and to come in under budget. In addition, during the second quarter we completed another 14-mile lateral off the rent on pipeline in Abilene, Texas and is now ready for service. During the quarter we

Source: Company Reports; Bloomberg; Bernstein analysis

We undertake two analyses. We use monthly flaring & venting data from the EIA to see any evidence of “trapped gas” in the past. We do not see evidence. Furthermore, while we lack recent flaring & venting data in 2025, we do note that third parties report

greatly reduced flaring in the Permian (consistent with public operator's comments).

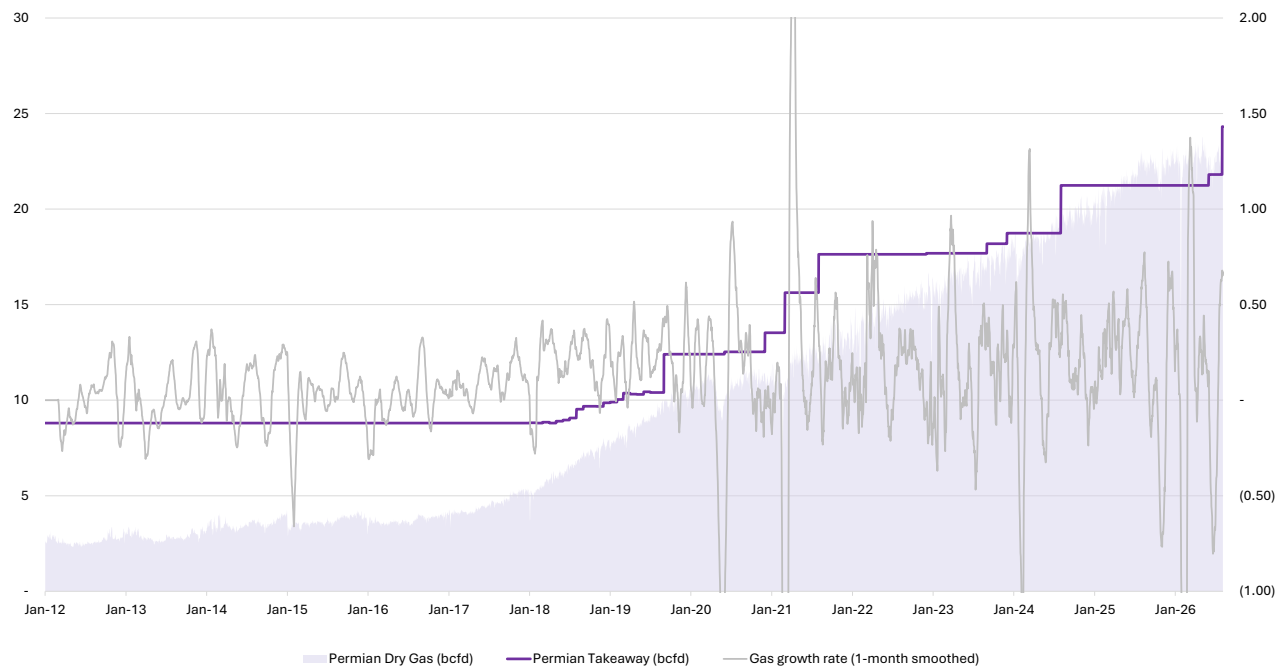
EXHIBIT 7: Flaring levels don't correlate with Waha discounts in an obvious way



Source: EIA; Bloomberg; Company reports; Bernstein analysis

We also calculate a velocity of gas (Exhibit 8) and correlate that velocity with periods of time when pipeline capacity opened up. We see no strong signal that new pipeline capacity unleashes trapped gas.

EXHIBIT 8: We see no evidence of accelerating gas production associated with pipeline expansions



Source: EIA; Bloomberg; Company reports; Bernstein analysis

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